an ad hoc policy announcement in mid-March 2010. Starting from that point up until October 2011, in a space of just eighteen months, I took the effective policy rate up from 3.25 per cent to 8.5 per cent, raising it a total of thirteen times, a record by a long stretch.

How rapidly and by how much we raised rates were critical to reining in inflation and inflation expectations. We raised rates by 50 basis points (0.5 per cent) on occasion, but much of the time the increase was in steps of 25 basis points, earning me the moniker of Baby Step Subbarao. Many analysts thought this baby-step approach to be too timid and too inadequate in the face of such stubborn inflation, and some of them started to ask whether the governor would ever grow up and take an adult step. But I am getting ahead of myself in telling that story.

Drivers of Inflation

The key to monetary policy calibration lies in understanding the drivers of inflation. We would talk about this a lot within the Reserve Bank and it would also be the focus of much of our dissemination effort during this admittedly difficult period. In the internal brainstorming sessions, the discussion would be more in-depth, analytical and multidimensional. My challenge was to absorb all of that technical analysis and communicate our understanding of the problem and our response to the public domain in simple language.

Several factors—some of them cyclical but many of them structural—stoked inflation and kept it elevated during this period. Every time I met him, the prime minister would ask me why inflation was so unrelenting. I would tell him that our inflation was, of course, a problem, but it was a problem of success. The government’s affirmative action programmes led by the employment guarantee under the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) pushed up wages without raising the underlying productivity while the expanded subsidy schemes, combined with improved delivery systems, had contributed to raising rural incomes at a record pace. A result of this rapid growth in incomes was a spurt in